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# STABLECOIN FX

FROM DFNS

EDITION TWO

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# 01.

# EXECUTIVE SUMMARY

FROM DFNS

Stablecoins move dollars at internet speed. Turning those dollars into pesos, reais, euros or won still runs at bank speed, bank cost, and bank hours. This report maps the gap between the two, and the market structure now being built to close it: by payment orchestrators in São Paulo and Hong Kong, market makers in London, a consortium of European banks in Amsterdam, and the largest payment networks in the world.

Interviews conducted November 2025. Market and regulatory data verified as of July 18, 2026. All figures sourced in the bibliography.

Exactly one year ago today, the United States enacted the GENIUS Act and gave dollar stablecoins a federal rulebook. The year since has settled one debate and opened another. Settled: stablecoins are payments infrastructure, used by Visa, Western Union, MoneyGram, JPMorgan's clients and thousands of fintechs. Open: whether stablecoins can do the harder thing that global payments actually depend on, which is exchanging one currency for another, at size, around the clock, without breaking.

That harder thing is the subject of this report.

EXECUTIVE SUMMARY

# WHAT IS STABLECOIN FX?

Stablecoin FX is any currency conversion in which a stablecoin sits on at least one leg of the trade: dollars onchain into Brazilian reais, euros into a euro stablecoin into USDC, a Nigerian importer's naira into USDT into Chinese yuan for a supplier in Shenzhen. It is distinct from a stablecoin payment, which moves value inside one currency. It is also distinct from the basis between two dollar stablecoins, which is a credit spread, not an exchange rate.

The distinction matters because the two problems are of entirely different difficulty. A stablecoin payment needs a blockchain and two wallets. A stablecoin FX trade needs everything a currency market needs: someone willing to take the other side, a price both sides trust, settlement that cannot half complete, redemption at par into the banking system on each end, and compliance that spans both rails. Blockchains provide almost none of this by themselves.

"You think USDC is the same thing as USD. Nowhere close, when it comes to the FX markets. You are buying a currency just like you are buying a phone: who has the supply, who has the demand? That's always the problem if your originating currency is a stablecoin."

**BERHAN KONGEL** | COFOUNDER & CEO OF KEYRAILS

The prize, however, is proportional to the difficulty. Foreign exchange is the largest market on earth: $9.6 trillion a day as of the BIS's April 2025 survey, up 28% in three years. It is also, structurally, one of the oldest. Most spot FX still settles two days after it trades. Roughly $1.4 trillion a day of obligations settle with no protection against counterparty failure. And the payment companies that depend on FX keep hundreds of millions of dollars trapped in prefunded accounts to paper over the settlement lag. Stablecoins attack exactly these weaknesses. That is why FX, not retail payments, is where the stablecoin industry's next fight is happening.

EXECUTIVE SUMMARY

# WHAT'S HAPPENING

- The market is big, dollarized, and volume is shifting to real payments. Stablecoin supply stands near $312 billion (July 2026), around 99% of it pegged to the dollar, with USDT (about $184B) and USDC (about $73B) holding roughly 82% between them. Onchain volume adjusted for bots ran to $10.2 trillion over the last twelve months. Real-economy stablecoin payments reached about $390 billion in 2025, of which $226 billion was B2B, up more than 7x year over year.

- A regulator has already conceded the premise. Since February 2, 2026, Brazil's central bank formally classifies stablecoin purchases, sales and cross-border transfers as foreign exchange operations that only authorized FX institutions may conduct. Stablecoin FX is no longer a metaphor. In the world's tenth-largest economy, it is a legal category.

- The dollar side is institutionalizing fast. Visa's stablecoin settlement runs at a $7 billion annualized rate across nine blockchains and now settles in EURC as well as USDC. JPMorgan's Kinexys moves roughly $5 to 7 billion a day and is extending its onchain FX from dollar and euro toward eight currencies. Western Union and MoneyGram launched their own dollar tokens in the first half of 2026. Tether earned over $10 billion in 2025 and holds more US Treasuries than most sovereigns. Its US-regulated token, USAT, launched in January 2026.

- The non-dollar side is finally moving. Thirty-seven European institutions now back Qivalis, the euro stablecoin consortium founded by nine banks in September 2025, targeting issuance in late 2026. Hong Kong granted its first two stablecoin licenses in April 2026. Japan's JPYC went live in late 2025 and the three megabanks have signed a joint stablecoin memorandum. Euro stablecoins doubled in a year, to roughly $700 to 900 million. Against $312 billion, that is still a rounding error, and this report explains why.

- The FX-specific infrastructure layer has appeared. B2C2's Penny runs zero-fee stablecoin swaps. Deutsche Börse's 360T lists regulated stablecoin pairs on an institutional FX venue. Circle's StableFX is piloting RFQ trading across ten currencies. Ubyx went live clearing redemptions at par across issuers. Orchestration networks (Borderless, Conduit, OpenFX, Keyrails, Walapay, Trace) quietly route tens of billions a year through corridors banks have retreated from.

- The official sector has moved from dismissal to prescription. The BIS's June 2026 annual report no longer argues stablecoins will not matter. It argues they fail specific tests (par redemption, interoperability, integrity) and proposes fixing or superseding them with tokenized bank and central bank money. Project Agorá, the ECB's Pontes and Appia roadmap, and SWIFT's shared ledger with 17 banks are the institutional response.

EXECUTIVE SUMMARY

# WHY IT MATTERS

**In short:** Cross-border payments are an FX problem wearing a payments costume. Wherever a stablecoin transfer ends in a different currency than it began, someone must supply liquidity, carry settlement risk, redeem at par, and answer to two regulators. Today that machinery is improvised corridor by corridor. The firms building it properly (clearing systems, benchmarks, market makers, consortium issuers, orchestration networks) are building the FX market structure of the next decade. And every one of them runs on wallet, policy and settlement infrastructure that did not exist in banking's stack five years ago.

The stablecoin debate has been running on the wrong axis. The industry argues about whether stablecoins are cheaper than SWIFT. The honest answer, from the people who run these flows daily, is "it depends on the corridor," and on the deepest corridors the answer is simply no. New York to Frankfurt does not need saving.

"US to EU stablecoins really make no sense. It's the most traded FX pair in the world. SWIFT settles T0 on those corridors. But when you start connecting emerging markets together, Brazil to South Africa or Colombia to Nigeria, the traditional payment rails start to break down."

**KEVIN LEHTINIITTY** | FOUNDER & CEO OF BORDERLESS

What actually breaks in cross-border payments is not messaging. SWIFT completed its ISO 20022 migration in November 2025 and its network leg typically clears in minutes. What breaks is everything around the FX: correspondent chains that route Lagos to Bogotá through New York, prefunded nostro accounts that trap working capital, cutoff times and weekends, thin local liquidity, and a settlement cycle that leaves the sold currency exposed until the bought currency arrives. The G20 set targets to fix cross-border payments by 2027. The FSB's own 2025 progress report concedes they will likely be missed. Sending $200 in remittances still costs 6.4% on average, and nearly 15% through a bank.

Stablecoins are the first credible attack on the settlement-and-liquidity layer of this problem rather than the messaging layer. They settle in minutes, run through weekends, and collapse the correspondent chain to a token transfer. But they do not, by themselves, produce the other half of a currency market. Nobody is obligated to make a price in USDC against pesos. There is no CLS netting stablecoin obligations against fiat ones. Par redemption into a bank account is a privilege, not a right. And every fiat touchpoint reintroduces exactly the frictions stablecoins were meant to remove.

This report is about that missing half: who is building it, what it costs while it is missing, and what institutions need in place to participate when it arrives.

EXECUTIVE SUMMARY

# WHAT'S NEXT

Watch the next 12 to 18 months for six markers. First, whether Qivalis ships a bank consortium euro token and puts real balance-sheet liquidity behind euro pairs. Second, whether US Treasury finalizes GENIUS rules and licenses the first federal qualified issuers, unlocking bank distribution at scale. Third, whether an institutional FX venue (360T, ventures adjacent to CLS, Circle StableFX, B2C2) publishes meaningful stablecoin FX volumes, converting anecdote into market data. Fourth, whether Brazil's FX classification becomes a template (the clearest regulatory recognition yet that stablecoin conversion is FX) or a cautionary tale of flows moving offshore. Fifth, whether a major bank stands up an onchain FX desk, as Visa's head of crypto expects within three to five years. Sixth, whether clearing ventures like Ubyx get enough bank adoption to make par redemption boring. Each is tracked in the Signals section at the end of this report.

EXECUTIVE SUMMARY

# REPORT OVERVIEW

This report draws on interviews conducted in November 2025 with the founders and executives building stablecoin FX today: Tony McLaughlin (Founder & CEO of Ubyx, formerly Citi), Berhan Kongel (Cofounder & CEO of Keyrails, previously a cofounder of Arf), Kevin Lehtiniitty (Founder & CEO of Borderless), Bernardo Brites (Cofounder & CEO of Trace Finance), Nick van Eck (Cofounder & CEO of Agora), Tom Borgers (Cofounder of Walapay), Jan-Oliver Sell (CEO of Qivalis), Cuy Sheffield (Head of Crypto at Visa), and Pelle Brændgaard (Cofounder & CEO of Notabene), with background conversations including Euroclear. Quotes were lightly edited for clarity and reviewed with contributors. Market data was reverified against primary sources (BIS, FSB, World Bank, central banks, regulators, issuer attestations and company disclosures) as of July 18, 2026.

The report runs in eight sections.

**1. The Market Stablecoins Are Walking Into.** How FX and cross-border payments actually work, and where they creak.

**2. What a Stablecoin Actually Is.** Negotiable instruments, singleness, and why basis is not FX.

**3. Stablecoin FX Today.** The anatomy of a corridor, where stablecoins win, where they lose, and the real numbers.

**4. The Missing Market Structure.** Liquidity, clearing, redemption, settlement risk, benchmarks, compliance.

**5. The Non-Dollar Question.** 99% dollars, the euro consortium, Brazil's test case, and the dollarization pushback.

**6. Banks, Networks, and the Official Sector.** Deposit tokens, Kinexys, Agorá, and who runs the onchain FX desk.

**7. What It Takes to Run Stablecoin FX.** The institutional capability checklist, and where DFNS sits in it.

**8. Scenarios and Signals.** Three futures, no fake probabilities, and the indicators that discriminate between them.

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# THE MARKET STABLECOINS ARE WALKING INTO

FROM DFNS

**In short:** FX is the world's largest market and its plumbing is its weakest part. $9.6 trillion trades daily, yet most of it settles two days later. Only about a third of daily obligations settle payment versus payment. Roughly $1.4 trillion a day remains fully exposed to settlement risk. Downstream, cross-border payments miss their G20 targets, remittances cost 6.4%, correspondent banks keep retreating, and payment companies bury capital in prefunded accounts. This, not card payments, is the terrain stablecoins are actually contesting.

## THE MARKET STABLECOINS ARE WALKING INTO

# THE LARGEST MARKET ON EARTH STILL SETTLES LIKE IT'S 1974

The Bank for International Settlements' triennial survey, conducted in April 2025 and published that September, put global FX turnover at $9.6 trillion per day, up 28% from 2022. The dollar sits on one side of 89% of all trades. London alone intermediates 38% of turnover. Add New York, Singapore and Hong Kong, and four cities carry three quarters of the market. The renminbi, for all the headlines about a move away from the dollar, reached fifth place with under 9%.

"Spot FX still takes two days to settle, which is a joke. There's no reason why it should take two days to settle. It's the old oligopolies holding everyone hostage. Take a tokenized instrument trading against a stablecoin and you suddenly have atomic settlement, true delivery versus payment in minutes. That's a whole different ball game."

**JAN-OLIVER SELL** | CEO OF QIVALIS

Two things about this market are easy to forget from inside it. The first is that it is mostly a wholesale credit market, not a payments utility: banks and dealers quoting each other, swap desks rolling funding, asset managers hedging. The second is that its settlement conventions predate the internet. Standard spot FX settles at T+2. The two legs of a trade often settle in different countries, in different time zones, through different payment systems, hours apart.

That gap has a name. In June 1974, German regulators closed Bankhaus Herstatt at the end of the Frankfurt day, after the bank had received Deutsche Marks but before it had paid out the corresponding dollars in New York. Counterparties learned that in FX you can pay and simply not be paid. It took the industry until 2002 to build the fix: CLS, a specialized utility that settles both legs of a trade simultaneously, payment-versus-payment (PvP), inside a narrow daily window backed by central bank accounts. CLS today settles an average of roughly $7.9 trillion a day across 18 currencies, netting participants' obligations down to a fraction of gross values before a single payment moves.

The fix is real but partial. The BIS's June 2026 analysis of the new survey data found that of more than $14 trillion in daily gross FX settlement obligations, only 36% settles with PvP protection. Around 54% is mitigated by netting, intragroup booking or timing controls. The remaining 10%, about $1.4 trillion every day, settles gross, bilaterally, with no protection at all. For currencies outside CLS's 18 (which is to say, nearly every emerging market currency this report discusses) only 12% of settlement is protected by PvP. Herstatt risk did not die in 1974. It moved to the currencies least able to bear it.

Even inside the G10, the machinery is under new strain. When US securities moved to T+1 settlement in May 2024, European asset managers found their FX legs pushed past CLS's cutoff. Industry estimates put the newly unprotected settlement at tens of billions of dollars a day. Europe follows to T+1 in October 2027. The market's response has been to trade earlier, hold more dollars, or accept the risk.

Sell runs the euro stablecoin venture owned by European banks. His impatience is notable precisely because it comes from inside the perimeter. But it should be read alongside the fact that CLS's netting is astonishingly capital efficient (it compresses gross obligations by roughly 96% before settlement) while a blockchain settles gross, trade by trade, with full liquidity required for each. Atomic settlement removes risk. It does not, by itself, remove the need for the capital that netting saves. That tension runs through this entire report.

## THE MARKET STABLECOINS ARE WALKING INTO

# DOWNSTREAM, THE PAYMENTS PROBLEM IS AN FX PROBLEM

For corporates, fintechs and households, FX mostly shows up embedded in cross-border payments. And cross-border payments remain the part of finance most visibly failing its users.

The G20 set hard targets in 2021: most retail payments credited within an hour by 2027, remittance costs pressed toward 3%. The FSB's October 2025 progress report is candid that the targets will likely be missed. Only 35% of retail cross-border payments reach the recipient within an hour, and costs have barely moved. The World Bank's latest published data puts the average cost of sending $200 at 6.36% globally. It is 8.46% in Sub-Saharan Africa, and nearly 15% when sent through a bank. Correspondent banking, the network that carries these flows, shrank by roughly a quarter to a third between 2011 and 2022 as banks derisked, and the retreat concentrated in exactly the corridors where costs are highest.

The mechanics behind those numbers are worth spelling out, because they define what stablecoins would have to beat.

- **Chained intermediaries.** A payment from Bogotá to Lagos rarely goes to Lagos. It goes to a correspondent in New York, then to another correspondent, then to a local bank, each hop adding fees, delay, and a compliance review.

> "Most of the payments that go between Africa and Latin America flow through New York."

**KEVIN LEHTINIITTY** | FOUNDER & CEO OF BORDERLESS

- **Prefunding.** Because settlement is slow and cutoffs are rigid, anyone promising fast payouts must park money in advance at the destination: nostro accounts, e-money float, partner balances. That capital earns little, needs FX hedging, and scales linearly with volume. A 2021 study by Oliver Wyman and J.P. Morgan put corporates' cross-border transaction costs above $120 billion a year, before counting trapped liquidity. Industry estimates of capital locked in prefunding run from hundreds of billions to several trillion dollars. No rigorous public figure exists, which is itself telling.

- **Hours.** The banking day still governs. Friday afternoon in California is already Saturday in Manila. Nothing settles until Monday.

The most striking testimony on this point comes not from a startup but from the largest payment network in the world.

> "It's 2025 and it's still hard for us to move money on the weekends. We still have bank holidays as a real challenge that we have to work around. That creates credit risk in the system: if you have authorizations on the network on a Friday and you don't get paid by an issuer until Tuesday over a long holiday weekend, it's harder to operate."

**CUY SHEFFIELD** | HEAD OF CRYPTO AT VISA

Visa itself runs one of the world's great FX machines (close to 30 settlement currencies, trillions of dollars converted between issuers and acquirers annually) and its treasury still fights the calendar. When the incumbent that processes a quarter of humanity's card payments says weekend money movement is hard, the market opportunity is not subtle.

## THE MARKET STABLECOINS ARE WALKING INTO

# WHY THIS IS THE STABLECOIN OPPORTUNITY

Notice what is not broken. Messaging is not broken. SWIFT's ISO 20022 migration completed in November 2025, and its network leg typically completes in minutes. The delays live at the endpoints: funding, FX, compliance, local payout. Pricing transparency in G10 pairs is not broken. EUR/USD spreads are measured in fractions of a basis point, benchmarked to the WM/Refinitiv fix, netted through CLS.

What is broken is the settlement-and-liquidity layer for everyone outside that core: exotic pairs, weekend flows, corridor businesses, importers and exporters, remitters. The users who pay 6.4%, wait days, and prefund everything.

A stablecoin transfer replaces the correspondent chain with a single token movement that settles in minutes, any day, visible to both sides. That is a genuine, large improvement, on one leg of the problem. The moment the value must become another currency, the transfer walks back into the FX market: someone must quote a price, hold inventory, carry the risk, and deliver local money through local rails. Whether that machinery exists, and what it costs where it does not, is the difference between a stablecoin payment and stablecoin FX. The next two sections take those in turn, first the instrument, then the market.

**Key numbers from this section:** $9.6T daily FX turnover. 89% of trades against the dollar. 36% of settlement obligations protected by PvP. About $1.4T a day settling fully exposed. 12% PvP coverage outside CLS currencies. 6.36% average remittance cost. 35% of retail cross-border payments arriving within an hour.

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# WHAT A STABLECOIN ACTUALLY IS

FROM DFNS

**In short:** A stablecoin is a negotiable instrument: a transferable promise to pay, recorded on a public ledger. Its natural price is not $1.00. It is $1.00 minus whatever the market charges for issuer risk and redemption friction. Everything that makes bank money trade at par (regulation, supervision, deposit insurance, clearing) is an institutional arrangement, not a law of nature, and those arrangements are only now being built for stablecoins. Understanding this is the difference between reading stablecoin prices as FX and reading them as credit.

## WHAT A STABLECOIN ACTUALLY IS

# THE NATURAL PRICE IS NOT ONE

The clearest way to think about a stablecoin comes from Tony McLaughlin, who spent decades in transaction banking at Citi before founding Ubyx, a clearing system for stablecoin redemption. Strip away the technology, he argues, and a stablecoin is the oldest instrument in finance: a bearer promise to pay.

> A negotiable instrument is independent of the form factor used to record it. Does it mean anything different if you record that promise on a clay tablet? On a piece of paper? On a relational database? No. Does it mean anything different if you record that promise on a token? No.

**TONY MCLAUGHLIN** | FOUNDER & CEO OF UBYX

From that one premise, the pricing follows.

> The natural price for a stablecoin is not one. A stablecoin's price has to be forced to be one, because the natural price for a negotiable instrument has to reflect the counterparty risk on the issuer.

**TONY MCLAUGHLIN** | FOUNDER & CEO OF UBYX

Bank deposits have exactly the same problem (a deposit at a regional bank is not obviously the same credit as a deposit at JPMorgan) and yet a dollar in either account spends identically. Economists call this singleness of money, and it is manufactured, not natural. It is manufactured by regulation and supervision, by deposit insurance, by central bank liquidity backstops, and by the mundane right to walk into any bank and deposit a check at face value. Remove those arrangements and bank money historically traded at discounts that varied by issuer. The 19th century American "wildcat banking" era published weekly tables quoting the value of hundreds of different banks' notes.

McLaughlin's point is that stablecoins are not doomed to that fate. They are simply early in building the same arrangements.

> The purpose of financial regulation is that the bank is able to pay back its depositors on demand. The purpose of stablecoin regulation is that the issuer is able to pay back its token holders on demand. The regulations run to hundreds of pages, but they boil down to that one sentence.
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> **TONY MCLAUGHLIN** | FOUNDER & CEO OF UBYX

WHAT A STABLECOIN ACTUALLY IS

# THE TWO ARRANGEMENTS THAT MANUFACTURE PAR

**Arrangement one: regulation of issuers.** This is the part the last eighteen months mostly delivered. The GENIUS Act (enacted July 18, 2025) defines a federal category of payment stablecoin issuer with fully reserved, high-quality liquid backing, redemption rights, and supervision. A year on, though, Treasury and the banking agencies are still between proposed and final rules. The OCC has granted conditional trust charters (Circle's converted to full approval on July 10, 2026) and no issuer yet holds a final federal license. The statute's own backstop makes it fully effective by January 2027. The EU's MiCA has regulated e-money tokens since mid-2024, with more than a dozen authorized issuers. Hong Kong's ordinance took effect August 2025 and produced its first two licenses in April 2026. Japan, Singapore, the UAE and the UK are at various points on the same road, the UK the slowest, with its regime now binding from late 2027 after the Bank of England retreated from unpopular retail holding caps. Regulation is necessary but not sufficient. It makes the promise credible without making it convenient.

**Arrangement two: par redemption where money actually lives.** This is the missing piece, and it is the specific gap Ubyx exists to close: a clearing network through which a token holder deposits any participating issuer's stablecoin at their own bank or fintech and receives face value, the way a check clears today.

> You can take a check to your bank and have it deposited at par value. You cannot today take a stablecoin to your bank and have it deposited at par value. That is the missing link. The first step is that all issuers become regulated. The next step is the ability to take a stablecoin to a bank or fintech and receive par value on demand.
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> **TONY MCLAUGHLIN** | FOUNDER & CEO OF UBYX

Today, direct redemption at the issuer is an institutional privilege (Circle Mint members, Tether's wholesale desk) and everyone else's "redemption" is a trade on an exchange, at whatever the order book says. The practical consequence, as Walapay's cofounder Tom Borgers describes from inside the flow, is that par holds only where arbitrage plumbing exists.

We are a Circle Mint member, so we perform that primary operation ourselves, minting and burning USDC against USD. Other arbitrageurs take advantage of any dislocation they see. And there is a growing expectation of one-to-one redeemability, through Coinbase, now through apps like Revolut. Over time that dislocation gets eroded to zero across any stablecoin to fiat pair.

**TOM BORGERS** | COFOUNDER OF WALAPAY

Where the plumbing is missing (smaller issuers, weekend stress, thin markets) the discount reappears instantly. Singleness, for stablecoins as for banks, is infrastructure.

WHAT A STABLECOIN ACTUALLY IS

# BASIS IS NOT FX

This report's title requires one sharp distinction. When USDC trades against USDT at 0.9998, that is not an exchange rate between two currencies. Both tokens are claims on the same dollar. The spread between them is a basis: a market price for differences in issuer credit, reserve quality, redemption speed, chain logistics and regulatory standing. Calling it "FX" flatters it. It is closer to the spread between two banks' commercial paper.

The basis is usually a few hundredths of a percent. Its importance is what it does under stress.

- **March 2023.** When Silicon Valley Bank failed holding $3.3 billion of Circle's reserves, USDC traded down to roughly $0.87 before recovering to par within days once US authorities backstopped SVB deposits. DAI, then heavily collateralized by USDC, fell with it. USDT (the less transparent issuer, but the one without SVB exposure) traded above par as holders rotated. Reserve composition, not brand, set the price.

- **October 2025.** Ethena's synthetic dollar USDe printed as low as $0.65 on one venue during a liquidation cascade, a reminder that the market prices structures, and that "stablecoin" is a shape, not a guarantee. USDe's supply subsequently fell by roughly two-thirds.

- **The permanent version.** Fully reserved, regulated tokens now trade within a whisker of par nearly all the time. The interesting spreads have migrated to where and when you trade (which chain, which venue, which hour) and to the exotic pairs discussed in the next section. Field data confirms the shape: across 315,000 hour-matched USDC and USDT quotes in Q2 2026, the two assets priced 0.4 bps apart at the network level, yet Peru ran a persistent 99 bps USDC discount to USDT all quarter. Same dollar, same day, different logistics.

For treasurers the operational lesson is Nick van Eck's, whose firm Agora issues AUSD with State Street as custodian and fund administrator.

> The things people need to be thoughtful about are: who's the underlying custodian, and what is the scale of that custodian? If you're using a third-tier bank, that's really risky, way riskier than SVB, especially if they have a concentration of deposits in your asset.
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> **NICK VAN ECK** | COFOUNDER & CEO OF AGORA

WHAT A STABLECOIN ACTUALLY IS

# GRESHAM'S CEILING

One more piece of monetary economics does real work in stablecoin FX. Bad money drives out good (Gresham's law), and in stablecoins the "clipped coin," the least regulated token that is still widely accepted, is precisely the most useful one in the gray zones of global flows. This is not a bug of emerging market dollar demand. It is its engine, and it is why the offshore token dominates corridor liquidity in most of the Global South while the regulated tokens dominate institutional balance sheets.

But McLaughlin adds the corollary that matters for the institutional market this report is about: the clipped coin circulates until it meets the regulated perimeter.

> In large parts of the world, and within the crypto ecosystem, the clipped coin will still circulate. But a regulated bank will not redeem the clipped coin at par value. That means the clipped coin has a ceiling. Once every bank and fintech in the world is processing stablecoins, the coins they process will be the regulated ones, and that market will be a thousand times bigger.
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> **TONY MCLAUGHLIN** | FOUNDER & CEO OF UBYX

The official sector has arrived at a structurally similar view from the opposite direction. The BIS's 2025 annual report argued stablecoins fail three tests of money (singleness, elasticity, integrity) and its June 2026 sequel sharpened the point, adding interoperability to the list and observing that redemption frictions make today's stablecoins "resemble ETF shares rather than a means of payment." One can read that as dismissal. The more useful reading, and the one this report adopts, is that it is a list of requirements, and that a striking amount of the list is now under construction, by the private sector (clearing, regulated issuance, compliance layers) and the public one (tokenized deposits and reserves, covered later in this report).

How many issuers will the end state hold? McLaughlin's answer reframes the question.

> We're back in 1970 and there are two credit cards on the planet, and everyone says network effects mean there will only ever be two. There are sixteen thousand credit card issuers today. People look at what there is and extrapolate, and that is wrong. Stablecoins will reach maturity when you, as the recipient of a stablecoin, don't give a damn about the issuer. That's the test.

**TONY MCLAUGHLIN** | FOUNDER & CEO OF UBYX

Nobody asks which bank issued a check before accepting a deposit. Clearing made the question irrelevant. The whole institutional project of stablecoins (regulation, redemption networks, compliance layers) is the project of making the issuer boring. FX is where that project gets stress tested, because FX adds the one thing same-currency payments never face: a real exchange rate, and someone who must hold the other side of it.

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# STABLECOIN FX TODAY

FROM DFNS

**In short:** Stablecoin FX already exists. Roughly $390 billion of real stablecoin payments moved in 2025, most of it B2B and most of it crossing a currency boundary somewhere. But it exists as thousands of bilateral improvisations: orchestrators stitching onramps to offramps, OTC desks quoting where banks won't, exporters running dollar treasuries from Lagos and Hong Kong. It wins where correspondent banking is thinnest (emerging market corridors, weekends, prefunding relief) and loses where fiat is deepest. The spreads tell the truth: fractions of a percent in G10, up to double-digits on exotic pairs.

STABLECOIN FX TODAY

# FIRST, THE NUMBERS, STATED HONESTLY

Stablecoin volume statistics are a methodological minefield, and this report refuses to pick the flattering number. Three tiers matter.

## STABLECOIN FX TODAY

Three tiers of stablecoin volume, and what each one actually measures.

| MEASURE | LATEST FIGURE | WHAT IT INCLUDES |
|---|---|---|
| Raw onchain transfer volume | $28 to 33T (2025) | Everything: bots, MEV, exchange shuffling, wash flows. An upper bound on nothing useful. |
| Adjusted volume (Visa and Allium methodology) | About $10.2T (12 months to June 2026) | Filters bots and self-churn. Still dominated by trading and treasury movement between venues. |
| Real-economy payments (Artemis and McKinsey) | About $390B (2025), of which B2B $226B (up 733% YoY), P2P/ remittance ~$90B, card spend ~$4.5B | Actual payments for goods, services, payroll, remittances, settlement. |

Three readings follow. First, real stablecoin payments are still around 1% of raw onchain volume. The industry's own headline numbers overstate adoption by two orders of magnitude. Second, the composition is the story: B2B grew more than sevenfold in a year and is now the largest real use case, and B2B flows are precisely the ones that end in a supplier's local currency, which is to say, in FX. Third, against the FX market's $9.6 trillion a day, all of this rounds to zero. Stablecoin FX in 2026 is roughly where electronic FX trading was in the mid-1990s: structurally inevitable to its participants, statistically invisible to incumbents.

Supply tells the same early days story: about $312 billion outstanding, 99% pegged to the dollar, 82% in two issuers. Growth flattened in the first half of 2026 after the surge that followed GENIUS, a useful corrective to extrapolation, and a reminder that forecasts diverge wildly (JPMorgan sees about $500B by 2028, Standard Chartered $2T by 2028, Citi's base case $1.9T by 2030, the US Treasury's advisory committee about $2T by 2028).

STABLECOIN FX TODAY

# ANATOMY OF A CORRIDOR

To see where FX enters, walk through what actually happens when a mid-size importer in Bogotá pays a supplier in Ho Chi Minh City through a stablecoin provider, the flow that firms like Walapay, Keyrails, Borderless, Conduit and Trace run thousands of times a day.

**1. Onramp (first FX leg).** The importer pays Colombian pesos through local rails. The provider converts COP to a dollar stablecoin, either through a local liquidity partner and exchange, or by first buying dollars and minting through an issuer program. Someone quotes that COP to USDC price. That someone is not a bank.

**2. Transfer.** The stablecoin moves onchain: minutes, any hour, both parties watching the same ledger. This is the leg the technology genuinely solved.

**3. Treasury positioning.** The provider holds working balances across-chains and venues, rebalancing via issuer mint and redeem programs or cross-chain transfer protocols. Idle balances increasingly earn yield in tokenized T-bill products.

**4. Offramp (second FX leg).** In Vietnam, where a stablecoin is not legal tender for the supplier's books, the provider converts USDC to dong through an OTC desk or exchange partner and pays out through domestic rails. Or, if the supplier invoices in dollars, the provider instructs a fiat payment from a dollar account.

**5. Payment on behalf of (POBO).** Often the last leg never touches crypto at all. The provider triggers a SWIFT, Fedwire, CHATS or local RTGS payment in the beneficiary's name, funded by the stablecoin settlement upstream.

> Companies settle us with stables and instruct payments on their behalf, without prefunding local accounts or managing foreign entities. We do it in 65 currencies, programmatically, through SWIFT messaging and direct local RTGS settlement. Retail rails like ACH or FPS all have upper limits. RTGS systems are the interbank rails, with no upper limit, which is what large import and export settlements need.
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> **BERHAN KONGEL** | COFOUNDER & CEO OF KEYRAILS

**6. Compliance, throughout.** Both rails are screened: customers and counterparties on the fiat side, wallet addresses and Travel Rule data on the token side.

The structure to notice: the blockchain carries the middle, and the edges are FX trades plus local payments. The industry calls this the "stablecoin sandwich," usually as praise for the fast middle. The operators are blunter about the bread.

> That's always the problem if your originating currency is a stablecoin. And that's why most of the sandwich models don't work. They are too expensive and too slow.
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> **BERHAN KONGEL** | COFOUNDER & CEO OF KEYRAILS

Kongel's firm exists, in effect, to industrialize the bread. Keyrails runs a SWIFT member stack with hundreds of nostro relationships so that the fiat edges execute at bank-grade while stablecoins do the international leg. Walapay describes the same architecture as orchestration.

In markets like China and Pakistan, stablecoins aren't valid within the existing framework, so we never trade the local currency against stablecoins there. We manage our own liquidity between stablecoins and dollars, then interact with the traditional FX markets. We've built an orchestration platform that handles these different routes depending on the market.

**TOM BORGERS** | COFOUNDER OF WALAPAY

That single quote contains the current state of the art. Stablecoin FX today is not a market you access. It is a routing problem you engineer, corridor by corridor, with traditional FX as a fallback leg inside the same payment.

STABLECOIN FX TODAY

# WHERE STABLECOINS WIN

**1. Corridors correspondent banking abandoned.** Flows between emerging markets (LatAm to Africa, Africa to Asia, intra Asia outside the hubs) carry the longest intermediary chains and the fattest fees. A token transfer collapses the chain. This is where providers report their growth. Keyrails' flows terminate overwhelmingly in Southeast Asia and Greater China. Walapay's biggest termination flow is "US dollars into China." Borderless connects more than 100 countries precisely across these pairings.

**2. The calendar.** Weekend and holiday settlement is not a crypto slogan. It is Visa's own stated pain point, and for corridor businesses it converts dead days into settlement days. Cutoff risk (missing a Friday window and funding a position for 72 hours) disappears when the middle leg settles continuously. The benchmark data now quantifies the advantage: in Q2 2026, weekend spreads (98.5 bps) matched weekday spreads (98.7) across the Borderless network, and provider coverage was flat around the clock. Delivering at 3 a.m. UTC on a Sunday priced the same as noon on a Tuesday. The timing penalty that structures fiat treasury simply is not there.

**3. Prefunding relief.** This is the most underrated economic effect, because it shows up on the balance sheet rather than in the fee line. Two testimonies:

Sometimes the rates are more favorable in stablecoins, sometimes less. But what is the cost savings if I can remove $300 million of prefunding across all these different bank accounts all over the world from my balance sheet? What is the cost of that capital?

**KEVIN LEHTINIITTY** | FOUNDER & CEO OF BORDERLESS

The process to acquire dollars in Brazil: move the reais to your FX bank, convert, wait a day or two for the money to reach your US account, send it to your OTC desk, get USDT, sell again. If you're going to sell $2 million a day, in reality you need $10 million or more just to keep operations running.

**BERNARDO BRITES** | COFOUNDER & CEO OF TRACE FINANCE

A 5x working-capital multiple on daily volume is the quiet tax the T+2 world levies on every corridor business. Stablecoin settlement compresses the loop from days to minutes, which is why the corridor operators, not the ideologues, are the technology's heaviest users.

**4. Netting under transaction taxes.** A subtler win, from Colombia: the 0.4% financial transactions levy applies per local payment. Brites points out that a business can onramp once into a peso stablecoin, settle with suppliers and customers ten or twenty times onchain, and pay the tax only on the net amount it finally withdraws, the same logic by which clearinghouses exist. Stablecoins as a private netting layer for overtaxed domestic rails is a use case almost nobody writes about and operators already exploit.

**5. Dollar (and increasingly euro) treasury access.** For businesses in soft-currency economies, the stablecoin is the product: a dollar store of value with instant mobility. Keyrails reports surging demand for exactly this ("I have naira treasury here, rupee treasury there. How do I get it into a USDC account as fast as possible?") and Chainalysis data shows stablecoins now exceed half of local exchange purchases in Colombia, Argentina and Brazil.

STABLECOIN FX TODAY

# WHERE STABLECOINS LOSE

**1. The deep pairs.** Nothing beats EUR/USD at fractions of a basis point, netted through CLS.

> Can any stablecoin infrastructure compete with USD to euro? No. Why? Because of the deep liquidity and the entire clearing mechanisms that are already reconciling 24/7. Most of the G10 markets are like that.
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> **BERHAN KONGEL** | COFOUNDER & CEO OF KEYRAILS

**2. The premium corridors.** The stablecoin industry's awkward secret is that in many emerging markets, the onchain dollar costs more than the bank dollar.

The question we get most often from traditional PSPs is: are stablecoins actually cheaper than traditional fiat remittances? The reality is, it depends on the corridors. In a lot of emerging markets, stablecoins actually trade at a premium compared to traditional fiat FX.

**KEVIN LEHTINIITTY** | FOUNDER & CEO OF BORDERLESS

The premium is not irrational. It prices scarce local liquidity, compliance risk, and, where capital controls bind, the value of an exit. Brazil, before its reform, offered the cleanest demonstration: about $4 million of total order book depth in USDT against BRL on the main venue, a 15% all in premium to trade even $3 to 4 million, against a national market of $2 trillion a year in spot B2B and consumer transfers. Argentina's crypto dollar still trades several percent above the official rate even after the normalization of 2024 and 2025. Nigeria's parallel-market gap collapsed from above 60% to about 2% after the naira float, taking the easy stablecoin arbitrage with it. Premiums are data: they mark exactly where the liquidity half of the market is missing.

They are also, increasingly, dated data. Borderless's Q2 2026 Benchmark (2.96 million rate observations across 260 corridors, 377 payout routes and 108 countries) found stablecoin delivery pricing a median 3.2 basis points below the same day's interbank rate, having crossed under parity in February 2026 and drifted further below it every month since April. The median hides the fork. Asia and Europe deliver below interbank, Africa still carries a +68 bps median premium, and parallel-market currencies (Congo, Argentina, Ghana) still price access at hundreds or thousands of basis points over official rates. But at the median corridor, delivering a $10,000 payment cost 27.2 bps all in, and the best available route delivered it for three dollars. In the eight months between these interviews and publication, the answer to "are stablecoins actually cheaper?" moved from "it depends on the corridor" to "at the median, yes, unless the fiat side is broken." Few markets have ever flipped that answer so fast.

**3. Anywhere par must survive a Fortune 5000 risk committee.**

> When you're selling to the Fortune 5000, they're not going to embrace this if there's any risk that a local currency stablecoin depegs. That's just not something that will be entertained.

**TOM BORGERS** | COFOUNDER OF WALAPAY

STABLECOIN FX TODAY

# THE VENUES, MID-2026

Where does stablecoin FX actually trade today? Four tiers, in descending maturity.

- Local crypto exchanges remain the de facto FX venues of the Global South. "Bitso in Mexico and Yellow Card in Africa have done a really good job building liquid markets for converting between USDT and traditional MXN or Kenyan shillings," as Visa's Sheffield puts it. Their order books are the closest thing exotic stablecoin pairs have to price discovery, and their depth is measured in the single-digit millions.

- OTC desks and market makers carry institutional size. B2C2's Penny platform (live since November 2025) runs zero-fee same-currency stablecoin swaps and is the visible tip of dealer activity. Bebop and others compete. The FX pair leg remains mostly bilateral and unpublished.

- Regulated venues arrived in 2026. Deutsche Börse's 360T now lists MiCA-compliant stablecoin pairs (USDC, EURC, EURCV, EURAU) on genuine institutional FX infrastructure, a small but symbolically enormous step, and Circle's StableFX is piloting RFQ execution across ten currencies. Published volumes are negligible so far. Onchain EURC against USDC turnover is still under $1 million a day.

- Orchestration networks are where most real corridor FX executes, invisibly, inside payment flows: Borderless, Conduit ($10B+ annualized), OpenFX (about $45B annualized run rate after its March 2026 Series A), Keyrails, Walapay, Trace ($9B annualized), with liquidity financiers like Arf and Huma (about $7B cumulative) funding the gaps.

> To start it'll be crypto exchanges, because they have all the infrastructure. Then the curve changes: they start with 100% of the flow, and it asymptotically goes to ten or twenty percent over time.
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> **NICK VAN ECK** | COFOUNDER & CEO OF AGORA

The pattern in this section repeats across every corridor: the transfer leg is solved, the currency legs are improvised, and the improvisation is expensive in exactly the places that need it cheapest. What converts improvisation into a market is structure (liquidity provision, clearing, redemption, benchmarks, compliance). That is the next section, and the heart of this report.

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# 05.

# THE MISSING MARKET STRUCTURE

FROM DFNS

**In short:** Six pieces of machinery make a currency market work: dealers who take the other side, clearing that nets obligations, redemption that holds par at the edges, settlement that cannot half fail, a benchmark everyone can price against, and compliance that lets regulated institutions participate. Fiat FX has all six. Stablecoin FX has fragments of each, built venture by venture. The builders themselves disagree about which piece binds first, clearing (Ubyx, Keyrails) or demand (Agora), and that disagreement is the most honest map of the market.

THE MISSING MARKET STRUCTURE

# GAP ONE: NOBODY HAS TO TAKE THE OTHER SIDE

In fiat FX, liquidity is structural. Banks need dollars, corporates need hedges, dealers warehouse inventory because flow is constant and financing is cheap. In stablecoin FX, none of that is given.

> When you have USD and you want to buy pesos, who is taking the other side of that trade? The big banks, because they need dollars, or the very old, deep-pocketed FX players. Do it with USDC, and the actual FX players are not yet taking the other side of that trade. Somebody always will, but that somebody is running a very shallow book, so you eat a lot of spread. It's changing, but it's nowhere near there yet.

**BERHAN KONGEL** | COFOUNDER & CEO OF KEYRAILS

Kongel learned this the expensive way running remittance settlement into the Philippines at Arf, years before Keyrails. The moment your originating asset is a stablecoin rather than a bank dollar, you exit the club whose members are obliged, by their own business models, to quote you. What remains is a patchwork: crypto market makers who quote the pairs they understand, local exchanges with retail-depth books, and corridor providers internalizing flow against their own inventory.

The consequences are measurable. Spreads on USDC into major currencies run tolerable, but the same token against an exotic currency prices like a different asset class.

> My USDC against Chinese yuan has a very different spread than your USDC against Chinese yuan, although USD against yuan always has the same rate. That's the problem. It will be ten percent, plus or minus, right now on the exotic pairs.
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> **BERHAN KONGEL** | COFOUNDER & CEO OF KEYRAILS

Note the exact phrasing: my USDC and your USDC trade at different prices against the same currency. In fiat FX, price is a property of the pair. In stablecoin FX, price is still a property of who you are, what you hold, and which liquidity you can reach. That is the signature of a market without dealers of last resort.

Where liquidity does concentrate, it concentrates in the offshore dollar token, for the Gresham reasons covered earlier, and that carries its own institutional trap. On several exotic pairs, operators report, the tightest quoted prices are tight for a bad reason: the counterparty on the other side is monetizing the evasion of capital controls, and the "better rate" is payment for that exposure. Regulated firms have to quote wider than the gray market they compete against. Clients read the difference as expensive, when it is the price of a clean counterparty. The best price in an unstructured market frequently is the compliance risk.

What would fix this gap is unglamorous: more balance sheets committed to quoting, more of the time. Notabene's Pelle Brændgaard frames the missing ingredient as dedicated market-making desks for the long tail of currencies. Until payment flow in a pair is consistent, no desk staffs it. Until a desk staffs it, flow routes elsewhere. Bank entry would break the loop fastest, which is why the sixth section of this report matters.

## THE MISSING MARKET STRUCTURE

# GAP TWO: EVERYTHING IS A TRADE, BECAUSE NOTHING CLEARS

The meat of the work is in clearing. We need a clearing layer at least, so USDC, USDT and other stablecoins can clear against each other without the constant, expensive onramps and offramps.

**BERHAN KONGEL** | COFOUNDER & CEO OF KEYRAILS

The deepest structural critique from the interviews is Kongel's, and it deserves its full weight.

> Take a cashier's check in US dollars that you received in the United States. Go to Japan, to any bank, and they will clear it. How is this possible? There is zero infrastructure for US checks in Japan's local clearing systems, but there is an international clearing house, a rulebook everyone follows. It's far more advanced than what we have in stablecoin trading right now.

**BERHAN KONGEL** | COFOUNDER & CEO OF KEYRAILS

And its mirror image, the thought experiment every stablecoin treasurer recognizes.

> If I had a thousand dollars right now, I could go to Circle in the US and buy USDC. If I take that USDC, fly to Hong Kong, and hand it to a bank, they should be able to give me the same amount back. They cannot, because there is no clearing mechanism connecting these markets. So transactions route through trading, and spreads appear. A liquidity pool in Hong Kong has zero idea what's happening in a liquidity pool in the US.
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> **BERHAN KONGEL** | COFOUNDER & CEO OF KEYRAILS

The point generalizes. USD against USDC is economically a same-asset conversion. Operationally, it is priced and executed as a trade, five basis points here, twenty there, every single time, in both directions, because no institution stands between banks and token venues netting the two into one settlement obligation. Multiply by every issuer, every chain, every venue, and the system recreates, in miniature, FX before CLS: bilateral, gross, unpriced tail risk, capital consumed by redundancy. Kongel again: "Everybody has their own clearing mechanism, their own trading mechanism, and it's stupid, because it's not the product. It's infrastructure we're all forced to rebuild so our actual products work."

The fiat world solved this with clearing houses, and the interviews converge on what defines one. Not technology, but governance.

> A clearing house is a consortium and an agreed rulebook. No single player can change it. There is a rulebook for how to change the rulebook. Closed-loop networks look like they work in the short term, but open networks take over. We need to bring more bankers into this so they can teach us how to do it. They've done it before, and it works. It's battle-tested.
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> **BERHAN KONGEL** | COFOUNDER & CEO OF KEYRAILS

This is the thesis Ubyx is betting on: redemption at par across issuers, through any participating bank or fintech, a hub-and-spoke model instead of thousands of bilateral integrations, live since late 2025 with backing that now includes Barclays and BitGo alongside Galaxy, Founders Fund, Paxos and VanEck. McLaughlin's "missing link" quote earlier in this report is the same argument from the monetary side.

The counterargument matters. Agora's Nick van Eck, an issuer who would benefit from exactly such infrastructure, doesn't buy clearing as the binding constraint.

> I don't think the lack of a clearing house is why this hasn't been solved. The issue with stablecoin clearing houses for dollar stablecoins is that it's not profitable unless you're a market maker, unless you can acquire a stablecoin at less than a dollar and sell it for more. It's not a profitable line of business, and it's extremely capital intensive. The real issue is there's not enough demand for the non-USD FX yet.
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> **NICK VAN ECK** | COFOUNDER & CEO OF AGORA

His sequencing: sustained two-way flow between non-dollar and dollar stablecoins must come first. Once trading and settlement can stay onchain instead of exiting to fiat at every turn, the clearing and netting layer becomes economically self-justifying. "A lot of the USD to non-USD flow right now exists to get into fiat. Until that changes, you won't see the holy grail. But I think it's inevitable."

Both can be right, in order. Clearing without flow is a subsidy. Flow without clearing is a toll. The realistic path is the one Kongel resignedly predicts ("you have at least five years before it becomes proper clearing") with netting arriving first where flow already concentrates: inside the big orchestration networks, inside issuer ecosystems, and between the banks that join consortium ventures. Watch whether CLS itself moves. The utility has so far engaged the topic mostly to point out, correctly, that gross-settled stablecoins forfeit the roughly 96% netting efficiency institutional FX depends on.

THE MISSING MARKET STRUCTURE

# GAP THREE: PAR REDEMPTION AND THE LAST MILE

Between clearing (gap two) and local rails lies a narrower, more immediately fixable problem: the interface between tokens and banks. Lehtiniitty gives the concrete version.

> In the US, I can't take my stablecoins and send them to Lead Bank. I have to send them to Bridge. Bridge converts to dollars. Those dollars land at Lead. As this market matures, some of that goes away. Cross River announced you can send stablecoins directly to the bank. That's a sign of a more mature market: deeper liquidity, more competitive FX, more money moving onchain at less friction.

**KEVIN LEHTINIITTY** | FOUNDER & CEO OF BORDERLESS

Every intermediary in that sentence is a spread, a reconciliation, and a counterparty. The end state (sketched by Ubyx, by direct acceptance at banks like Cross River, and by the GENIUS and MiCA redemption mandates) is that the right to deposit at par becomes a property of the banking system rather than of specific fintech relationships. Until it does, the last mile also stays statistically dark.

> Anything onchain, the data is there. What is not available is anything related to touching fiat: centralized exchanges, onramp and offramp providers, OTC desks, market makers. The Pix transfer that's part of an offramp in Brazil still happens on Pix. So much is hidden in the stablecoin FX world. So many companies are closed and secretive about pricing.
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> **KEVIN LEHTINIITTY** | FOUNDER & CEO OF BORDERLESS

A market whose most important leg is invisible cannot be benchmarked, capitalized, or properly regulated. Which leads directly to gaps four and five.

THE MISSING MARKET STRUCTURE

# GAP FOUR: SETTLEMENT RISK DIDN'T DIE, IT MOVED

Onchain, the settlement story is genuinely excellent. Two tokens on one ledger can swap atomically, both legs or neither, PvP by construction, no Herstatt window at all. This is the property Sell called "a whole different ball game," and it is real wherever both legs are tokens on connected infrastructure.

But step off the ledger and the risk reappears in new clothes.

- **The fiat legs.** Onchain, Kongel is emphatic that the classic exposure is gone: "The Herstatt risk is minimal to nonexistent, because of the atomic swaps that replace the traditional PvP settlement structures." But every sandwich has two ends, and neither is onchain. The provider that pays out pesos today against USDC arriving in an hour is extending intraday credit. The one that delivers tokens early against a pending SEPA transfer is doing the reverse. The exposure atomicity kills in the middle survives, in miniature, at each edge.

- **Cross-chain legs.** The same stablecoin on two chains is only fungible through burn-and-mint protocols (where the issuer provides them) or bridges (where it doesn't). USDT, notably, lacks a native cross-chain transfer protocol, so even USDT to USDT across-chains routes through intermediaries, "which is, in and of itself, an exchange, and they will charge you for it," as Kongel notes.

- **Counterparty tiering.** With no central counterparty and no netting, exposure management collapses back to bilateral limits, exactly the regime FX spent thirty years escaping. The BIS's 2026 interoperability critique lands here: a settlement asset that cannot move across ledgers without dealers is, functionally, several assets.

The honest scorecard: stablecoins eliminate settlement risk in the middle of the trade and concentrate it at the edges, where the participants are smallest and the data is darkest. Institutional grade stablecoin FX therefore means engineering the edges (synchronized payout triggers, escrowed legs, receivable financing in the Arf and Huma model, and eventually netting), not celebrating the middle.

THE MISSING MARKET STRUCTURE

# GAP FIVE: A MARKET WITHOUT A BENCHMARK

Fiat FX has the WM/Refinitiv fix, CLS data, dealer runs, and a century of convention. Stablecoin FX has, in Lehtiniitty's phrase, one venue's order book at a time.

In the traditional world you have Bloomberg mid-market, reference points to know whether you're getting a good price. In the stablecoin world you can look at Bitso's order book for USDT into MXN, but that gives you one particular price, not market representation across all the liquidity venues.

**KEVIN LEHTINIITTY** | FOUNDER & CEO OF BORDERLESS

Borderless's response is the market's first real attempt at a tape. What began during our interviews as an opt-in widget covering a dozen countries had become, by Q2 2026, a published quarterly benchmark: 2.96 million rate observations, 260 corridors, 377 payout routes, 108 countries, with letter-graded corridors a treasury can act on. Its findings read like the microstructure profile of a market mid-formation. The best-priced provider changed hands every 2.6 days on the busiest corridor. Routing at the median provider instead of the best cost a measured 23.3 basis points. The benchmark names it the Routing Tax. And the quarter logged 8,217 hours of crossed quotes, one provider's sell price sitting below another's buy: what a market that has not finished converging looks like. Its original design constraint remains diagnostic, too. Venues still resist named attribution because pricing itself is treated as proprietary edge, a measure of how far this market sits from the transparency it advertises.

The optimistic mechanism is that arbitrage does the convergence work once both legs trade visibly.

> The market makers built stablecoin exchanges first, but only same-currency. They haven't worked out the FX piece yet. Onchain FX is coming next. And I don't think it leads to depegging. It's the other way around. You have dollar euro trading underneath, and USDC against a euro stablecoin on the other leg. Those rates aren't matched, so there's a clear arbitrage, and it will pull them into line.
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> **JAN-OLIVER SELL** | CEO OF QIVALIS

That quote quietly buries the "stablecoins will float away from their pegs" thesis this report's own first draft flirted with. The more stablecoin FX trades, the tighter it binds to fiat FX, because every gap between the two markets is someone's riskless profit. Exchange rates between stablecoins converge on exchange rates between their currencies, plus a basis for credit and logistics that competition then grinds down. The benchmark question is simply who publishes the reference for that basis: an industry tape in the Borderless mold, an oracle network, a regulated venue like 360T, or eventually the banks' own fixings.

THE MISSING MARKET STRUCTURE

# GAP SIX: COMPLIANCE IS THE MARKET STRUCTURE

The instinct to file compliance under "cost of doing business" misreads this market. In stablecoin FX, compliance capability is market access. It decides which flows a regulated institution may touch at all.

The operators live this daily, in stereo.

> As a licensed FI it's our responsibility to know who we're dealing with and understand the flows. And frankly, it's even harder than for a bank. We have to do it on both our TradFi infrastructure and the crypto side. We have to screen wallet addresses as well.

**TOM BORGERS** | COFOUNDER OF WALAPAY

Dual rail compliance is the entry ticket. The Travel Rule is its cross-border grammar. FATF's July 2026 update reports 83% of surveyed jurisdictions now implementing Travel Rule requirements, up from 73% a year earlier. Its March 2026 report bluntly named stablecoins the most used asset in illicit crypto transactions, guaranteeing the scrutiny will intensify with scale. Notabene, whose network now connects over 2,200 institutions, represents the systematization of the response. Brændgaard describes it as the trust-and-context layer that lets counterparties authorize transactions before settlement: identity, sanctions status and business context traveling with the payment rather than chasing it. Notably, he argues the industry keeps repeating "the original sin of SWIFT" (building networks around operators' needs instead of business users') and that blockchains, like SWIFT, are push-based systems now being retrofitted with the pull-payment workflows businesses actually run on: authorization, request-to-pay, recall.

Two features distinguish compliance in this market from its fiat ancestor. First, the transparency dividend is real. Public ledger forensics gave regulators comfort no correspondent chain ever offered, and the "regulate the ramps" doctrine that emerged from FinCEN's 2013 guidance has aged into global consensus: concentrate obligations where tokens meet fiat, which is exactly where this report has located every other gap as well. Second, transparency cuts both ways. Institutions will not run treasury on rails where competitors can read their flows. That is why privacy preserving settlement (the subject of this series' Canton report) and stablecoin FX are converging agendas, not separate ones.

**What would signal each gap closing:** a bank quoting two-way stablecoin prices in size against emerging market currencies (gap one). Clearing volumes disclosed by Ubyx or its peers, or CLS engaging directly (gap two). Direct stablecoin acceptance at multiple US and EU banks (gap three). An insured, netted PvP mechanism spanning token and fiat legs (gap four). A published daily fixing for stablecoin FX pairs used in contracts (gap five). Travel Rule data flowing before settlement as the default in major corridors (gap six).

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# 06.

# THE NON-DOLLAR QUESTION

FROM DFNS

**In short:** There is no FX market with one currency. Stablecoins are 99% dollars, which makes "stablecoin FX" today mostly a dollar distribution system with local exits. The non-dollar side is finally being built, by a European bank consortium of 37 institutions, by licensed issuers in Hong Kong and Tokyo, by a Brazilian central bank that now regulates stablecoins as FX. But it will grow on different economics than the dollar did. Non-dollar stablecoins are working capital, not savings. Their metric is velocity, not float. Meanwhile, the dollar token's advance into weak-currency economies is forcing exactly the sovereign pushback the operators predicted.

## THE NON-DOLLAR QUESTION

# NINETY-NINE PERCENT DOLLARS

Every figure in this report so far carries an asterisk: the "FX" in stablecoin FX has, so far, only one fully tokenized currency. Dollar-pegged tokens are roughly 99% of supply (the BIS puts it at 99.4% of value). The euro, a fifth of world reserves and a fifth of global payments, exists onchain at around $700 to 900 million across all issuers combined. The most precise indictment comes from the man hired to fix it.

> In the fiat world, the euro makes up about twenty percent of flows on most measures: reserves, trading, cross-border payments, on and on. In the stablecoin world, it's 0.2 percent. The upside is hundreds of x, if we can reach the same levels.
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> **JAN-OLIVER SELL** | CEO OF QIVALIS

Behind the defensive logic sits the geopolitical one ("a European stablecoin is a cornerstone of European strategic autonomy"), language that has since migrated into official EU discourse. The design choices are the interesting part for market structure.

- **Independent entity, open shareholding.** Bank consortiums historically die of governance ("too many cooks"). Qivalis is structured as a neutral company the banks own but do not individually control, deliberately open to new shareholders. "As soon as we made the first announcement, maybe thirty banks contacted us trying to join."

History offers a precise rhyme. The eurodollar market of the 1960s and 1970s (dollars circulating offshore, beyond direct Federal Reserve reach) grew because dollar liquidity abroad was useful, unregulated, and compounding through network effects. Stablecoins are the eurodollar's third act: bearer dollars, offshore by default, now programmable. And exactly as with eurodollars, the rest of the world faces a choice between building its own tokenized currency layer or conceding the digital vehicle-currency role to the dollar permanently. That, explicitly, is why Qivalis exists.

## THE NON-DOLLAR QUESTION

# FLOAT VERSUS FLOW: THE ECONOMICS NOBODY STATES PLAINLY

Before the consortium story, the analytical point that organizes the whole non-dollar question. Dollar stablecoins grew on float: hundreds of billions parked as savings, collateral and treasury by holders who want dollars they cannot otherwise conveniently hold. That demand does not translate.

With non-USD FX it's going to be volume, not float. If you're a European, you have access to the European banking system. You don't need to hold euro stablecoins. The only reason I hold dollar stablecoins is that I'm active in DeFi. My bank is fine.

**NICK VAN ECK** | COFOUNDER & CEO OF AGORA

A euro, real or won stablecoin is not a savings product for its own citizens (their banks work) nor for foreigners (who prefer the dollar). It is working capital: the token you hold for minutes to settle a trade, make payroll, or complete the far leg of an FX conversion. Its success metric is turnover against tokens and against local rails, velocity, not market cap. Judging euro stablecoins by supply, as the industry reflexively does, misses the entire business model. The supply may stay modest even in success, the way a settlement account balance says nothing about the volume that crossed it. Van Eck's forecast for the landscape follows: ten to fifteen large dollar issuers, then oligopolies per currency ("two or three of the major issuers plus a local bank or two") in the currencies where credible institutions and legal frameworks exist.

Where the float does accumulate is instructive: outside the currency's home. Offshore corporates holding euro balances, Asian treasuries diversifying from pure dollar exposure, and a detail from Sell that deserves more attention than it has received.

> We're talking to Chinese suppliers who tell us they would rather be paid in euros than in dollars, given the geopolitical situation. But if it's going to be a payment, they'd rather have a stablecoin. It's faster, cheaper, easier. So it ends up being USDT. If we can offer them a credible euro stablecoin, there's real interest.
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>
> **JAN-OLIVER SELL** | CEO OF QIVALIS

Read that carefully. Today, a preference for euros is being expressed in offshore dollars, because the euro doesn't exist in the preferred form factor. That is what a missing market looks like, and it is measured in trade invoices, not token supply.

THE NON-DOLLAR QUESTION

# QIVALIS: THE CONSORTIUM ANSWER

In September 2025, nine European banks (ING, UniCredit, CaixaBank, Danske Bank, DekaBank, KBC, Raiffeisen Bank International, SEB and Banca Sella) announced a joint euro stablecoin venture. In December it took a name, Qivalis. It also took a CEO, Jan-Oliver Sell, previously Coinbase's Germany head, and an Amsterdam base, with a Dutch e-money license in process and issuance targeted for late 2026. By May 2026 the group had grown to some 37 institutions. Sell, interviewed days before his appointment was public, is candid about the motive stack.

> All the banks involved see stablecoin rails starting to eat into fiat rails, eventually probably replacing them in most senses. And at the moment there are only US dollar stablecoins. If you buy that thesis, that leads to a dollarization of Europe. To some extent, they realized they just need to be part of the future.

**JAN-OLIVER SELL** | CEO OF QIVALIS

- **Balance sheet liquidity as the moat.** Sell's diagnosis of why prior euro tokens stalled is liquidity, not demand. Exchanges list no euro stable pairs, so nobody can trade size, so nobody lists pairs. A consortium whose shareholders are ING, UniCredit and CaixaBank can seed order books from bank balance sheets rather than a startup's treasury. Combined with member banks planning to use the token for interbank payments, the cold-start problem inverts.

- **Crypto-first distribution, bank-grade issuance.** The initial go-to-market targets where euro-denominated demand already visibly exists (trading and DeFi yield in euros rather than dollars) before corporate payments. An unromantic sequencing from an entity owned by banks, and probably the right one.

- **Timing honesty.** "We're six to nine months behind in terms of building a stablecoin, but about three years ahead of everyone else in terms of having a consortium behind us."

The unresolved tension is Frankfurt. The ECB spent years signaling discomfort with private euro tokens while advancing the digital euro (now headed toward legislation, with a pilot no earlier than 2027 and issuance around 2029), and its leadership spent 2025 and 2026 warning that US-regulated dollar stablecoins threaten European monetary sovereignty. A euro stablecoin issued and governed by supervised European banks is arguably the version of the technology most compatible with those concerns (the consortium is plainly betting the official sector reaches the same conclusion), and the standoff between the ESRB and the Commission over "multi-issuance" structures (tokens issued jointly by EU and non-EU entities) shows the rules are still being fought over in real time.

American issuers feel the same fight from the other side. GENIUS and MiCA impose reserve and localization requirements that are hard to satisfy with a single instrument, so issuers increasingly resolve the conflict by splitting the token: one dollar, two regulated wrappers, one per regime, exchanging at par. Tether made the pattern explicit with USDT offshore and USAT issued onshore under the US framework. Regulatory fragmentation is now itself creating stablecoin FX pairs, same-currency ones.

## THE NON-DOLLAR QUESTION

# BRAZIL: THE TEST CASE WHERE THE PREMISE BECAME LAW

If you want one jurisdiction to watch to understand stablecoin FX's next five years, it is Brazil, because Brazil is where the phenomenon met the regulator head on, five days apart from this report's interviews.

The setting, per Trace Finance's Bernardo Brites, whose platform processes about $9 billion annualized for foreign companies operating in Brazil: a $2 trillion a year spot transfer market. Every offshore payment legally requiring a currency conversion. Order books in USDT against BRL so thin that "$4 million total depth" and "a 15% premium to trade $12 million" were normal. And a T+2 dollar acquisition loop forcing 5x prefunding. Demand for a compliant alternative was never the question.

On November 10, 2025, the day of the interview, the Banco Central do Brasil published Resolutions 519, 520 and 521, and answered a definitional question most regulators are still avoiding: stablecoin transactions are foreign exchange operations. Buying, selling or transferring fiat-pegged tokens cross-border (including to self-custody) falls under Brazil's FX regime, may only be conducted through authorized institutions, and reports into the central bank's FX systems. The rules took force February 2, 2026, with reporting from May 2026. Data from the tax authority explains the urgency: stablecoins had reached roughly 80% of Brazil's declared crypto volume, overwhelmingly USDT.

Two readings coexist. The restrictive one: Brazil just imposed the full weight of FX regulation (licensing, reporting, and in a follow up rule, limits on settling foreign obligations in crypto) on a market that grew up outside it, and some flow will simply go offshore or underground. The constructive one, which is Brites's: formal classification is what lets regulated local stablecoins and institutional size books finally exist. His firm is building exactly that, a central-bank-registered BRL stablecoin with reserves at the central bank, aimed not at Brazilians buying groceries but at making the real holdable and tradable offshore.

We register everything with the central bank and operate under the highest tier of regulation in Brazil. The central bank wants to open the markets. We're just making its ten year agenda go a little faster. We anticipate taking twenty percent or more of Brazil's cross-border payments volume. In five years, we could have most of the interbank volume.

**BERNARDO BRITES** | COFOUNDER & CEO OF TRACE FINANCE

And the design detail that shows where this ends: Trace plans liquidity pools for its BRL token directly against Asian currency tokens ("Brazil exports a lot to Korea. We can create a pool for the BRL token against Korean won and skip the dollar leg entirely") while conceding that most volume will still route through dollar pairs, exactly as most fiat FX routes through the dollar today. Onchain FX, it turns out, reinvents the vehicle-currency structure of offchain FX, for the same liquidity reasons.

The prophetic bookend belongs to Lehtiniitty, recorded five days before Resolution 521.

> I don't see Brazil waking up one day and saying we don't need the real anymore. You're going to see pushback from nation state governments against the dollarization narrative. You're going to see things like FX taxes around stablecoins. You're going to see forced conversions: you can receive payments in dollar stablecoins, but they must be converted into our currency, held in our banks, helping our economy.
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> **KEVIN LEHTINIITTY** | FOUNDER & CEO OF BORDERLESS

Every mechanism he named now exists somewhere: Brazil's FX perimeter, Argentina's halt of an unauthorized peso token, Turkey's stablecoin withdrawal caps, India's unmoved prohibition by friction. The era of stablecoins growing in regulatory vacuum is over in the large emerging markets. What replaces it is FX policy, jurisdiction by jurisdiction, which is precisely what this report means by stablecoin FX becoming a regulated market rather than a workaround.

THE NON-DOLLAR QUESTION

# ASIA: LICENSED, CAUTIOUS, AND STRATEGICALLY SPLIT

- **Hong Kong produced the world's most-watched licensing race:** 77 expressions of interest, 36 formal applications, and, in April 2026, exactly two licenses: Anchorpoint (the venture of Standard Chartered, Animoca and HKT) and HSBC, both for tokens pegged to the Hong Kong dollar. The scarcity is the message. The HKMA wants bank-grade issuers for a currency that is itself a dollar peg, while Beijing's February 2026 reiteration of the mainland crypto ban kept the offshore yuan question (AnchorX's Kazakhstan-licensed AxCNH notwithstanding) political rather than commercial. Kongel's flows already show why CNH rails matter: Hong Kong to mainland trade settlement is among his fastest-growing corridors, all of it running on dollar tokens today.

- **Japan approved JPYC, its first yen stablecoin,** in late 2025 (circulation remains tiny, a few billion yen), and in June 2026 the three megabanks (MUFG, SMBC, Mizuho) signed a joint stablecoin memorandum targeting corporate settlement by March 2027. Sell reports the Japanese consortium efforts are already in contact with Qivalis about interoperable onchain FX: consortium-to-consortium currency pairs, designed before either token scales.

- **Singapore remains the quiet sophisticate:** a finalized framework awaiting statute, regulated SGD tokens (XSGD, about $11 million, velocity businesses per the float versus flow logic), and MAS's Project BLOOM assembling exactly the multi-currency settlement testbed (Circle, DBS, OCBC, UOB, Partior, Stripe, Ant among participants) that institutional stablecoin FX will need.

- **The Gulf has a licensed dirham token (AE Coin) and, in 2026, the region's first regulated dollar token (USDU).** Small, but notable: emerging market jurisdictions issuing dollar instruments under local law rather than ceding that to New York.

THE NON-DOLLAR QUESTION

# DOLLARIZATION AND ITS DISCONTENTS

The macro stakes are no longer hypothetical, and this report should state them without euphemism.

The evidence for concern: Chainalysis finds stablecoins now exceed half of all local currency exchange purchases in Argentina, Colombia and Brazil. BIS research published in 2026 measured what flows do to prices (a 1% stablecoin inflow shock associates with roughly 40 basis points of parity deviation and measurable pressure on emerging market currencies), and BIS Papers 170 models "digital dollarization" scenarios in which weak-currency economies lose deposit bases, seigniorage and monetary transmission to offshore dollar tokens their central banks cannot see, while capital controls become, in the operators' universal testimony, largely advisory. The IMF's work across 2025 and 2026 lands in the same place: currency substitution risk is real, concentrated in economies with high inflation and weak institutions, and stablecoins make it cheaper and faster than dollarization has ever been.

The market's own expectations split along the fault line the officials worry about. The stark reading, widespread among issuers and trading firms, is that durable stablecoin markets will form only in the major currencies, while economies with double-digit inflation, capital controls or fragile banking systems keep ceding monetary ground to dollar tokens, one household and one corporate treasury at a time, as users simply opt out. Sheffield, for Visa, takes the institutional counter-position.

> We don't think it's in most countries' and individuals' and businesses' interest for the whole world to instantly dollarize. For global payments to really work, you need every major currency represented onchain. One of the best things governments can do is encourage the creation of local currency stablecoins and onchain products that let their currencies participate in these markets.

**CUY SHEFFIELD** | HEAD OF CRYPTO AT VISA

Both are describing real forces, and the honest synthesis is uncomfortable for both camps. The dollar token is winning the store-of-value contest in weak-currency economies, and nothing visible stops that. Local tokens can still win the settlement contest (the FX use case) because trade, tax and law are denominated locally and regulators control the ramps. The likely equilibrium is a two-tier system: dollar stablecoins as the offshore savings and vehicle layer, local stablecoins and tokenized deposits as the licensed velocity layer, and stablecoin FX as the hinge between the two. Whoever builds that hinge is building the choke point.

**What to watch:** the Qivalis token live with bank-seeded order books. Euro stablecoin supply crossing $2B (from about $0.8B). A second and third HKMA license. JPYC circulation and the megabank token's 2027 debut. Stablecoin volumes at Brazilian authorized institutions after Resolution 521. Any BIS or IMF documented episode of stablecoin driven FX pressure prompting new controls. The first consortium-to-consortium pools (euro against yen, euro against real).

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# 07.

# BANKS, NETWORKS, AND THE OFFICIAL SECTOR

FROM DFNS

**In short:** The institutions stablecoins were supposed to disintermediate are becoming the market's most important entrants, on their own terms. Visa settles in stablecoins at a $7B annualized rate and calls treasury "four dimensional." JPMorgan runs onchain FX between bank deposits. Central banks are building the tokenized alternative outright. The interviews converge on an unfashionable conclusion: stablecoin FX matures when it is absorbed into institutional finance, not when it replaces it, because whoever captures the flow sets the price, and banks still have the flow.

## BANKS, NETWORKS, AND THE OFFICIAL SECTOR

# VISA: THE INCUMBENT AS EARLY ADOPTER

The most instructive institutional posture belongs to Visa, because Visa is simultaneously the incumbent with the most to lose and the operator with the most concrete deployment. Its stablecoin settlement (clients paying or receiving network obligations in USDC, and since 2025 EURC, instead of wires) reached a $7 billion annualized run rate in early 2026, across nine blockchains. Its Visa Direct product now lets institutions prefund payouts with stablecoins. And in July 2026 it launched a platform for banks to issue and manage their own tokens. The strategic frame, from its head of crypto:

> Treasury is going from two dimensional to three or four dimensional. It used to be about converting one currency to another. Now it's: which form factor of the dollar (USDC? USDG?) and which blockchain is it running on? We recognize the whole ecosystem won't upgrade at the same time. Visa's role is to receive any stablecoin, representing any currency, on any blockchain, and convert to any fiat on the other side.
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> **CUY SHEFFIELD** | HEAD OF CRYPTO AT VISA

Two implications deserve emphasis. First, "any to any" is an FX statement. A network that already trades close to 30 settlement currencies is extending its matrix across every combination of currency, token and chain, which is precisely the three extra dimensions stablecoin FX adds to a dealing desk. Second, the economics Sheffield sketches for banks generalize. The cost base of a traditional FX desk is people, process and legacy technology. An onchain desk with automated compliance, shared ledgers and instant settlement could carry radically less of all three. "The risk is doing nothing."

Mastercard, for completeness, made its equivalent move by acquisition, paying up to $1.8 billion for stablecoin infrastructure provider BVNK in March 2026 after its Zerohash talks collapsed. Stripe built (Bridge, Tempo). Western Union and MoneyGram, the remittance incumbents stablecoins were supposed to bury, launched their own dollar tokens in the first half of 2026. The pattern across incumbents is uniform: absorb the rail, keep the customer. The corridor operators watch the resulting proliferation (every corporate its own token, every network its own chain) with a skepticism worth recording.

> Stablecoin issuance is primarily a distribution problem and a regulatory compliance problem, much more than a technology problem. We're going to see the rise of corporate stablecoins as the next wave, and corporate chains with it. But if every payments company tries to create its own chain, we're back to the same fragmentation we have today in the fiat world, just with blockchain lipstick on it.
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> **KEVIN LEHTINIITTY** | FOUNDER & CEO OF BORDERLESS

BANKS, NETWORKS, AND THE OFFICIAL SECTOR

# BANKS: FROM PROHIBITION TO PRODUCT IN EIGHTEEN MONTHS

Bank engagement now runs on three distinct tracks, and confusing them produces most of the bad commentary in this market.

**Track one: deposit tokens.** JPMorgan's Kinexys platform (formerly Onyx) moves roughly $5 to 7 billion a day in tokenized deposits, runs live onchain FX (dollar and euro first, expanding toward eight currencies including offshore yuan), and in late 2025 put JPMD, a deposit token, on a public blockchain (Base) for institutional clients. Citi's Token Services runs 24/7 dollar clearing across five markets at around $1 billion a day. These are not stablecoins. They are bank liabilities, able to pay interest, carrying recourse, and confined to each bank's clients, which is precisely their limit. Each is a superb closed loop. None is a bearer instrument a stranger will accept. The BIS's economists have argued deposit tokens preserve the "singleness" that stablecoins strain. JPMorgan's own executives make the sharper version: unchecked issuer proliferation risks stablecoins becoming airline miles. The stablecoin camp's rejoinder is McLaughlin's clearing argument from earlier in this report. Checks were bank specific promises too, until clearing made them universal.

**Track two: bank issued stablecoins.** The consortium of ten global banks reported by Reuters (BofA, Citi, Goldman, UBS, Deutsche, Barclays, Santander, TD, MUFG, BNP) has, as of mid-2026, produced no token, while the regional consortium with a narrower mandate (Qivalis) hired, licensed and scheduled. Japan's megabanks chose the same structure. The lesson from every interview that touched it: consortium tokens live or die on governance design, not technology. "Independently set up," or too many cooks (Sell). "A rulebook for how to change the rulebook" (Kongel).

**Track three: banks as stablecoin FX dealers.** This is the track that matters most for this report and exists least. Sheffield's diagnosis ("banks just aren't really participating in stablecoin FX at any scale right now") is confirmed from the buy side by every corridor operator interviewed. His forecast, and the market makers already positioning for it (B2C2's Penny, the crypto desks Sheffield expects to end up inside banks), define the next phase.

> What does a bank's onchain FX trading desk look like in a few years? I think there's probably a pretty big business there.

CUY SHEFFIELD | HEAD OF CRYPTO AT VISA

Lehtiniitty draws the same conclusion from flow logic, and answers the question the crypto industry least wants asked: why would banks route through anyone else's token?

> Will JPMorgan provide stablecoin FX services to USDC? I don't know. But will JPMorgan provide FX services to a stablecoin issued by a consortium of JPMorgan, Bank of America and Wells? One hundred percent yes. History never repeats, but it often rhymes. The world's largest financial institutions are going to remain the world's largest financial institutions. And that's positive for stablecoins. You're going to get better FX rates and more acceptance, because we're moving from liquidity provided by hedge funds and OTC desks to liquidity provided by the best-capitalized institutions on earth.
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> **KEVIN LEHTINIITTY** | FOUNDER & CEO OF BORDERLESS

Van Eck completes the picture, and the setup matters. The corporates and multinationals who generate FX's organic flow will not be early adopters, he argues. Banks will adopt first, then run the new rails underneath existing client relationships. Hence his epitaph for the whole debate: "John Deere is still going to do euros through JPMorgan, and they're just going to have no idea that it's settling on stablecoin rails." Adoption, at scale, will be invisible.

The dissent, for the record, is McLaughlin's. Incumbency is not destiny: "There will definitely be new players. A lot of [traditional players] will get disintermediated because they won't adapt fast enough." Both views fit the data so far. The incumbents entering are the ones behaving least like incumbents.

## BANKS, NETWORKS, AND THE OFFICIAL SECTOR

# THE OFFICIAL SECTOR: FROM CRITIQUE TO CONSTRUCTION

Central banks spent 2021 through 2024 warning about stablecoins. They now spend their energy building alternatives and, increasingly, plumbing that could serve both.

- Project Agorá (the BIS with seven, now eight, major central banks and more than 40 commercial institutions) published its blueprint in May 2026: tokenized correspondent banking, with commercial bank deposits and central bank reserves settling on unified infrastructure, legal finality opined across seven jurisdictions, real value testing next. Its explicit target is the correspondent-chain cost stack described at the start of this report, the same target as the stablecoin sandwich, approached from inside the system.

- Project Rialto (BIS and MAS with partners) prototyped FX conversion inside cross-border payments using wholesale central bank money and automated market makers, an official sector answer to precisely the "who takes the other side" gap described earlier.

- The ECB advances the digital euro (legislation in trilogue, pilot around 2027, issuance around 2029) while its Pontes and Appia roadmap gives European markets a settlement leg in central bank money for tokenized assets from 2026. The subtext, stated openly by Lagarde and Cipollone across 2025 and 2026: dollar stablecoins are a sovereignty problem, and Europe's answer must be both public (the digital euro) and, grudgingly or not, private (euro tokens under MiCA).

- SWIFT, with more than 30 banks and a shared ledger built with Consensys now in initial use with 17 institutions for 24/7 cross-border trials, is converting itself from pure messaging toward orchestrating tokenized settlement, Kongel's skeptical gloss notwithstanding ("they're trying to do settlement without building the clearing first").

- CLS, the institution whose absence defines this whole market, has engaged publicly but cautiously, emphasizing its netting advantage and so far announcing no tokenized settlement product. Every interviewee who mentioned CLS treated its posture as the single most consequential open question in institutional FX tokenization.

The BIS's 2026 annual report captures the official sector's matured position: stablecoins "fall short on key properties of money" (par redemption, interoperability, integrity), but tokenization itself is the destination, and the report reads less like a dismissal than a specification for who may build the tokenized system and under what anchor. Between Agorá's tokenized deposits, GENIUS-licensed stablecoins, and bank consortium tokens, the contest is no longer token versus bank. It is which combination of regulated tokens ends up on the two legs of the world's currency trades.

Kongel, asked what happens when the crypto clearing layer meets the traditional one, gave this report its shortest forecast: "They merge. You have to merge them. There is no other way to do it."

**What to watch:** the first globally systemic bank to quote stablecoin FX pairs to clients. Kinexys FX currency count and third-party access. Interoperability of JPMD class deposit tokens with counterparties outside the issuing bank. Agorá moving to live value. CLS announcing (or conspicuously declining) a tokenized FX initiative. Visa and Mastercard publishing stablecoin settlement volumes as a standard disclosure line. The G7 consortium either shipping or formally dissolving.

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# 08.

# WHAT IT TAKES TO RUN STABLECOIN FX

FROM DFNS

WHAT IT TAKES TO RUN STABLECOIN FX

# THE CAPABILITY CHECKLIST

Van Eck, asked what separates the institutions that get stablecoins into production from those that stay in committee, gave the cleanest version of the checklist, and it is worth anchoring the section on it.

> There are three things organizations are figuring out. Key management: how do I custody, touch, move this stuff, with the risk controls, procedures and compliance around a completely novel thing. Interoperability with existing systems, which is broadly onramps and offramps. And which asset providers to use, and why. Once a few more enterprises solve all of the above, we'll get there.

**NICK VAN ECK** | COFOUNDER & CEO OF AGORA

Expanded through everything the corridor operators, issuers and networks described in the preceding sections, the institutional requirements for stablecoin FX look like this.

# THE CAPABILITY CHECKLIST

| CAPABILITY | WHY STABLECOIN FX DEMANDS IT | WHAT FAILURE LOOKS LIKE |
|---|---|---|
| **Key management at bank-grade** | The token is the asset. The key is the account. FX desks turn over inventory continuously, so signing must be fast, distributed, and impossible to compromise or lose. | A market event on a weekend with signers unreachable. A single laptop as the custodian of the float. An insurer or auditor who walks away. |
| **Policy-governed transaction flows** | FX operations are high-frequency and high-value: payout runs, rebalances, mint and redeem cycles. Every one needs rules (limits, allowlists, approval chains) enforced by machinery, not memory. | Fat-finger payouts. An employee able to move treasury unilaterally. Controls that exist in a PDF but not in the transaction path. |
| **Full transaction lifecycle visibility** | The sandwich's edges are credit exposures timed in minutes. Treasury needs to know the instant a transfer is initiated, included onchain, confirmed, or failed, and to trigger the fiat leg from those events. | Payouts released against transactions that never confirm. Reconciliation done next morning against a market that moved overnight. |
| **Segregation across entities and clients** | Orchestrators, PSPs and banks operate for many clients across many corridors and jurisdictions. Balances, permissions and audit trails must separate cleanly, per client, per entity, per currency. | Commingled float. A client asset question from a regulator answered with a spreadsheet. One client's incident freezing every client's flows. |

# THE CAPABILITY CHECKLIST (CONT.)

| CAPABILITY | WHY STABLECOIN FX DEMANDS IT | WHAT FAILURE LOOKS LIKE |
|---|---|---|
| **Issuer and liquidity connectivity** | Par is maintained by primary mint and redeem access (Circle Mint and equivalents), cross-chain transfer protocols, and OTC and venue integrations. Without direct connectivity you are always paying someone else's spread. | Buying dollars at 20 bps that a mint member creates at zero. Inventory stranded on the wrong chain during a corridor spike. |
| **Compliance hooks on both rails** | Screening wallets and fiat counterparties, Travel Rule data exchange, authorization before settlement, reporting by jurisdiction (now including FX reporting, per Brazil). | Corridors closed by a partner bank. The "best price" that turns out to be a sanctions case. Growth capped by the compliance backlog. |
| **Reconciliation across onchain and offchain books** | Stablecoin FX is, by definition, half on a ledger and half in bank accounts. The books must tie both halves, continuously, in a form auditors and regulators accept. | Month-end breaks between token balances and bank statements. Audit qualifications. Capital held against uncertainty rather than risk. |
| **24/7 operations without 24/7 humans** | The asset settles on weekends. The desks that thrive are the ones whose approvals, alerts, retries and failovers work at 3 a.m. on a Sunday. | The weekend advantage surrendered to cutoffs of your own making. |

None of these is optional, and none is differentiating on its own. This is simply the floor for running currency operations on tokenized rails. The strategic choice is build versus buy. Banks entering the dealing track mostly cannot buy their way out of governance, but they need the token-handling substrate immediately. PSPs and orchestrators have no margin to spend rebuilding it (Kongel's line about clearing applies to wallets too: "it's infrastructure we're all forced to rebuild so our actual products work"). Issuers need it multiplied across every client they white-label for.

## WHAT IT TAKES TO RUN STABLECOIN FX

# WHERE DFNS SITS

DFNS, which publishes this report, operates as a core banking platform for onchain finance: the layer on which regulated institutions issue, move and govern tokenized money. More than 400 banks, fintechs and institutions run on it. The platform secures over $100 billion in client assets, processes over $10 billion in monthly transaction volume across more than 20 million wallets and more than 100 networks, and is SOC 2 Type II and ISO 27001 certified, with historical uptime of 99.997% and zero key losses since inception.

**In short:** Every gap in this report resolves to the same operational question. Can your institution hold, move, govern and account for tokenized money with the same discipline it applies to bank money, continuously, across-chains, under two compliance regimes at once? That is a capability checklist, not a philosophy. This section states the checklist, then discloses where DFNS (publisher of this report) sits in it, with the evidence coming from the operators interviewed rather than from us.

Mapped to the checklist above, without embellishment. Signing runs on peer-reviewed MPC protocols (CGGMP24, FROST, and KU25, designed with Jonathan Katz and published in IACR Communications in Cryptology), with an HSM-based Offline Signer for cold reserves. Governance runs through a policy engine (limits, allowlists, quorum approvals), extended in 2026 by Validation Gate, for customer-operated checks before signature, and Vaults, treasury containers that quarantine by default. The transaction lifecycle is exposed end-to-end through API states and webhooks, including the on-block "Included" event built precisely for the payout trigger timing described earlier. Separation across entities runs through Organizations, keeping clients and permission sets apart on shared rails. Issuer connectivity ships natively: Circle Mint for minting and redeeming against fiat, CCTP for USDC across-chains, Payouts for stablecoin to fiat delivery through partners including Borderless. Compliance integrations (Chainalysis, Elliptic, Notabene and Scorechain among them) attach screening and Travel Rule flows to the transaction path itself.

The evidence that matters more than the feature list is who runs their stablecoin FX operations this way. Two of this report's contributors answered the question unprompted.

> Let's start with 100% on DFNS. That's the percentage. We rely on DFNS solely. Every flow is a first-party or third-party onramp or offramp, and it always touches a DFNS wallet. DFNS manages all our wallets to their security standards. We don't see the private keys. We mind our business, DFNS minds ours. It works.

**BERHAN KONGEL** | COFOUNDER & CEO OF KEYRAILS

> We use DFNS as one of our primary wallet providers. It's one of the core pieces within the infrastructure stack, and it's at the heart of money coming in and out of our system.
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> **TOM BORGERS** | COFOUNDER OF WALAPAY

Across the wider market described in this report, DFNS infrastructure sits under stablecoin payment platforms from São Paulo to Singapore (Parfin, Capa, Stables and SmashPay among recent additions), under issuers and exchanges, and inside the stacks of institutions from Stripe's Bridge to Zodia Custody. The point is not that DFNS is the only way to pass the checklist. The point is that the checklist is real, it is what separates the operators quoted in this report from the institutions still in committee, and it is infrastructure. The sensible question for most institutions is not whether to have it, but whether building it is their business.

WHAT IT TAKES TO RUN STABLECOIN FX

# THE CLOSING ARGUMENT: THE WALLET IS THE BRANCH

Step back from the plumbing and the strategic picture assembles itself from three quotes this report has been building toward. The first is McLaughlin's, on what banks are actually doing when they add stablecoin redemption.

> Banks opening wallets to accept stablecoins is the biggest Trojan horse of all time. The true merger of TradFi and Web3 is when all banks offer wallets. We're moving into a world of tokens on chains. We don't know which token will win, we don't know which chain will win. The thing you can do as a bank to defend yourself against the greatest number of contingencies is to have a wallet.

**TONY MCLAUGHLIN** | FOUNDER & CEO OF UBYX

The second is Sheffield's, from the incumbent's chair, in almost identical words.

> The same way you can't imagine a bank without a mobile app today, in the future every bank is going to need to have a wallet. Every bank is going to need to participate in these markets, and they're going to need partners to do that in a safe and compliant way.
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> **CUY SHEFFIELD** | HEAD OF CRYPTO AT VISA

And the third is Borgers's, which converts both into the end state this market is actually pricing.

> We really see a world where the wallet replaces the bank account at the heart of a company's financial operations. That's the world we're building for. But we're still pretty far from it, because in a lot of countries you can't rely on a local stablecoin yet, and businesses still have liabilities in that currency.
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> **TOM BORGERS** | COFOUNDER OF WALAPAY

That last clause is this report's whole thesis in miniature. The wallet becomes the account only when every currency a business owes can live in it, which is to say, only when stablecoin FX works. Payments proved the rails. FX is where the rails become a financial system.

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# 09.

# SCENARIOS AND SIGNALS

FROM DFNS

## SCENARIOS AND SIGNALS

Prediction in this market has a poor track record, including in this report's own first draft. What follows are three scenarios without probabilities, distinguished by observable leading indicators, the Canton report's discipline applied to currencies.

SCENARIO A

# DOLLAR RAILS, LOCAL EXITS

USD stablecoins consolidate as the universal vehicle and settlement layer. Non-dollar tokens stay marginal. Every corridor ends in a local fiat exit. Orchestrators and payout networks consolidate into a handful of global "sandwich operators." Pushback from emerging markets intensifies: FX perimeters, forced conversion, offshore gray markets.

### Leading indicators:

Non-dollar supply still under 1% by 2028. Euro and yen consortium tokens stall below $1B. Premiums persist in emerging market corridors. More Brazil style FX classifications paired with weak local issuance. Bank stablecoin FX desks don't materialize.

SCENARIO B

# MULTIPOLAR TOKENIZED FX

Currency tokens across the G10 and G20 reach critical liquidity through consortium and licensed issuers. Regulated venues (in the mold of 360T, StableFX, bank platforms) publish real volumes. Onchain PvP between currency tokens becomes standard for the token leg. Clearing and netting arrive via utilities like Ubyx or CLS itself. The vehicle-currency structure persists, but tokenized.

### Leading indicators:

Qivalis live with bank-seeded books. Euro stablecoins above $5B by 2028. A tokenized initiative from CLS or a major clearing house. Published daily stablecoin FX fixings. Two or more globally systemic banks quoting token pairs. Consortium to consortium pools (euro against yen, euro against real).

SCENARIO C

# BANK TOKEN ABSORPTION

Deposit tokens and unified ledger infrastructure (platforms at Kinexys scale, Agorá, Pontes and Appia) capture institutional FX. Stablecoins remain the offshore, retail and emerging market layer. The hinge between the two-tiers, swaps between bank tokens and stablecoins, becomes the choke point, run by banks and networks.

### Leading indicators:

Kinexys FX opens to third parties and adds currencies. Agorá reaches live value with FX legs. Deposit tokens in the JPMD class become interoperable across banks. Stablecoin growth plateaus near $400B while tokenized deposit volumes compound. Visa and Mastercard platforms favor bank issued tokens.

## SCENARIOS AND SIGNALS

The scenarios are not exclusive. The most likely path is A shading into B for the currencies with credible issuers, with C running in parallel above it for wholesale flows, the two-tier system sketched earlier. What discriminates between futures is not technology but four institutional decisions: whether CLS or an equivalent nets tokenized obligations, whether banks deal, whether non-dollar consortiums ship, and whether the US and EU regimes interoperate or force the atomic swap workaround permanently.

SCENARIOS AND SIGNALS

# THE SIGNALS DASHBOARD: TWELVE THINGS TO CHECK EACH QUARTER

1. GENIUS final rules published, first qualified payment stablecoin issuers licensed, first reciprocity determination for a foreign regime.

2. Qivalis: DNB license granted, token live, first bank quoted euro pairs.

3. CLS: any tokenization or stablecoin settlement announcement.

4. A globally systemic bank quoting two-way stablecoin FX prices to clients in size.

5. Published volumes on regulated stablecoin FX venues (360T, StableFX, B2C2 Penny FX pairs).

6. Ubyx: disclosed clearing volumes and bank participants beyond the founding group.

7. Brazil: stablecoin FX volumes at authorized institutions after Resolutions 521 and 561, and evidence of flow returning onshore (or leaving).

8. Non-dollar stablecoin supply in aggregate (currently about $0.8B) crossing $2B, then $5B.

9. Kinexys Digital FX currency count, JPMD interoperability with outside counterparties, a euro deposit token on public rails.

10. Project Agorá: transition to transactions with live value and FX legs.

11. A published benchmark fixing, referenced in contracts, for at least one stablecoin FX pair.

12. Real-economy stablecoin payment volume (on the Artemis and McKinsey basis) sustaining growth above 100% a year off 2025's $390B.

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# 10. RESOURCES

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# GLOSSARY

**Stablecoin FX.** Any currency conversion in which a stablecoin forms at least one leg: fiat into a stablecoin of another currency, stablecoin into stablecoin across currencies, or stablecoin into fiat across currencies. Distinct from a stablecoin payment (a value transfer inside one currency) and from basis (price differences between instruments of the same currency).

**Basis.** The spread between two instruments representing the same currency, for example USDC against USDT, or USDC on two chains. It prices issuer credit, redemption friction and logistics, not exchange rates.

**Stablecoin sandwich.** A cross-border payment structured as fiat, then stablecoin, then fiat: local onramp, onchain transfer, local offramp. Fast in the middle. The cost and risk live at the two ends.

**Onramp and offramp.** The conversion step between bank money and tokens (and back), performed by exchanges, OTC desks, issuers' mint and redeem programs, or licensed payment institutions.

**Orchestration.** Software coordination of cross-border flows with many legs: routing between onramps, chains, liquidity venues, offramps and local rails under one API and compliance envelope.

**POBO (payment on behalf of).** A provider executes a fiat payment in its client's name (via SWIFT, Fedwire, CHATS or local rails), funded upstream by stablecoin settlement, letting clients pay globally without owning local accounts.

**PvP (payment-versus-payment).** Settlement in which both currency legs complete simultaneously or not at all, eliminating principal risk in FX. Onchain, atomic swaps achieve PvP natively between tokens on connected ledgers.

**Herstatt risk.** FX settlement risk named for Bankhaus Herstatt (1974), which failed after receiving one leg of FX trades but before paying the other. The reason CLS exists.

**CLS.** The FX industry's specialized settlement utility, established in 2002. It settles both legs PvP across 18 currencies inside windows backed by central bank accounts, netting obligations by roughly 96% before settlement.

**Netting.** Offsetting mutual obligations so only net amounts settle. The core capital efficiency of traditional FX and clearing, and what blockchains give up by settling gross.

**Nostro account and prefunding.** Money parked in advance at destination banks or partners so payouts can be made before settlement arrives. The largest hidden capital cost of cross-border payments.

**Par redemption.** The right to convert a monetary instrument into bank money at face value, on demand. In stablecoins, today an institutional privilege (mint and redeem programs). The object of clearing ventures like Ubyx and of the GENIUS and MiCA redemption mandates.

**EMT (e-money token).** MiCA's regulated category for fiat-pegged stablecoins in the EU, requiring authorization, reserves and par redemption.

**Qualified payment stablecoin issuer.** The GENIUS Act's federally licensed issuer category (final rules pending as of July 2026).

**Deposit token.** A tokenized commercial bank deposit, such as JPMD: a bank liability, restricted to clients, able to pay interest. The institutional cousin and competitor of the stablecoin.

**Vehicle currency.** A currency used as the intermediate leg between two others because its pairs are deepest. The dollar's role in fiat FX, and so far in stablecoin FX.

**Travel Rule.** FATF Recommendation 16: originator and beneficiary information must accompany transfers, implemented for crypto via providers like Notabene. The compliance grammar of cross-border stablecoin flows.

# INTERVIEWS AND METHODOLOGY

This report is built on interviews conducted by DFNS in November 2025 with executives at nine organizations, supplemented by background conversations including Euroclear, and by primary source research current to July 18, 2026.

**Ubyx.** Clearing system for stablecoin redemption at par through banks and fintechs, across issuers. Tony McLaughlin, Founder & CEO.

**Keyrails.** Stablecoin-settled payment and treasury infrastructure for emerging market trade corridors. A SWIFT member. Berhan Kongel, Cofounder & CEO.

**Borderless.** Global stablecoin liquidity and payout orchestration network (100+ countries). Publisher of the quarterly Borderless Benchmark on stablecoin FX pricing. Kevin Lehtiniitty, Founder & CEO.

**Trace Finance.** Cross-border payment and FX platform for Brazil, preparing a BRL stablecoin registered with the central bank. Bernardo Brites, Cofounder & CEO.

**Agora.** Issuer of AUSD and white-label stablecoin infrastructure. Reserves managed with VanEck, custodied at State Street. Nick van Eck, Cofounder & CEO.

**Walapay.** Stablecoin-based money movement API across LatAm, Africa, MENA and APAC. Tom Borgers, Cofounder.

**Qivalis.** Euro stablecoin company founded by nine European banks (now about 37 institutions). Jan-Oliver Sell, CEO.

**Visa.** Global payment network. Stablecoin settlement live in USDC and EURC across nine chains. Cuy Sheffield, Head of Crypto.

**Notabene.** Compliance and Travel Rule network connecting more than 2,200 institutions, with infrastructure for authorization before settlement. Pelle Brændgaard, Cofounder & CEO.

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# DISCLOSURE AND FURTHER INFORMATION

This report offers an independent analysis based on interviews and publicly available information as of July 18, 2026. Stablecoin markets involve regulatory, liquidity and operational risks that may materially change the timelines and figures discussed.

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